
15.0 OBJECTIVES

After studying this Unit, you should be able to:

- discuss the different RTAs that India has at present;
- elaborate the different multilateral trade agreements that India has at present;
- explain the transformation of India's role over time from GATT to WTO;
- analyze different issues in which India took an active role in the WTO; and
- explain the role that India may play in the WTO in the coming days.

15.1 INTRODUCTION

In Units 13 and 14 we have discussed in detail about Multilateral Trade Negotiations (MTNs) and Regional Trading Agreements (RTAs). In this Unit we will focus our discussions on India's experience in negotiating both RTAs and MTNs. As argued in earlier units 13 and 14, the world looks like a "spaghetti bowl" of regional and multilateral agreements. India's experience is no different. India was a member of the GATT since 8 July 1948 and a founder member of the WTO since 1 January 1995. Moreover, India has been a founder member of the Asia-Pacific Trade Agreement (APTA), the oldest RTA in the Asia-Pacific region. Further, India has bilateral RTAs with a number of countries like Japan, Malaysia, Singapore, South Korea, Australia, UAE along with most of the nations with which India shares its border. Though India doesn't have a direct agreement with China, both these nations are members of the APTA. Thus, one might understand that India's trade relations are beyond geographical neighbourhood – it has RTA with next door neighbor Bhutan on the one hand and with Chile (the distance between the two is more than 16,000 km), on the other.

We will start with a brief discussion on India's different RTAs with other nations. In the next section we would analyze the evolution and major characteristics of each of India's major multilateral relationships. The next section would introduce us to the evolution of India's negotiations in the WTO followed by the issues in which India took active role in the WTO in the next section. Finally, we would spend some time understanding the present initiatives taken by India to resolve the WTO deadlocks.

15.2 INDIA'S TRADE AGREEMENTS: AN OVERVIEW

In this section we discuss the trade agreements negotiated by India so far. Though there has been a massive proliferation of Regional Trading Agreements (RTAs) in the world, India's trade negotiations started only very recently. Except for the Bangkok Agreement of 1975, India started signing RTAs only in 2003 with MERCOSUR (Argentina, Brazil, Paraguay and Uruguay) and Afghanistan.

India has entered into several trading arrangements. Some of these RTAs are free trade areas (FTAs), some are FTAs and Economic Integration Agreements (EIAs) whereas others are preferential Scope Agreements (PSAs). The various types of RTAs have been discussed in details in Unit 14. Table 15.1 gives a brief summary of all these agreements.

These agreements have almost all been signed since 2003. While the Bangkok Agreement (BA) had been negotiated in 1975 by 7 developing countries, namely, Bangladesh, India, Cambodia, The Philippines, Republic of Korea, Sri Lanka and Thailand, it had been ratified/implemented by only four countries - India, Bangladesh, Republic of Korea and Sri Lanka. The agreement was energized with the accession of China in 2002. It was renamed as the Asia-Pacific Trade Agreement (APTA) in 2005 and renegotiated in 2006.

Table 15.1: India's Regional Trading Arrangements

RTA Name	Present Members	Date of Entry in to Force
India APTA PSA	Bangladesh, China, India, Lao PDR, Mongolia, South Korea, Sri Lanka	17 th June, 1976
India-Sri Lanka FTA	India and Sri Lanka	17 th June, 2002
India-Afghanistan PSA	India and Afghanistan	13 th May, 2003
SAFTA	Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka	6 th January, 2004
India-ASEAN FTA	Cambodia, Brunei Darussalam, India, Indonesia, Lao PDR, Malaysia, Myanmar, Singapore, Thailand, The Philippines and Viet Nam	1 st July 2004
India-Thailand PSA	India and Thailand	1 st September, 2004
India-Singapore FTA & EIA	India and Singapore	1 st August, 2005
India-Chile PSA	India and Chile	17 th August, 2007
India-Bhutan FTA	India and Bhutan	30 th June, 2008
India-MERCOSUR PSA	India, Argentina, Brazil, Uruguay and Paraguay	1 st June, 2009
India-Nepal PSA	India and Nepal	27 th October, 2009
India-South Korea FTA & EIA	India and South Korea	1 st January, 2010
India-Malaysia FTA & EIA	India and Malaysia	1 st July, 2011
India-Japan FTA & EIA	India and Japan	1 st August, 2011
India-UAE Comprehensive Economic Partnership Agreement (CEPA)	India and UAE	1st May 2022
India -Australia Economic Cooperation and Trade Agreement (ECTA)	India and Australia	29 December 2022

Source: Adapted from Agarwal and Ghosh (2016)

India's late entry into negotiating RTAs is likely a reflection of India's geographically diversified trade portfolio. Hence, India benefits more from multilateral trade liberalization rather than RTAs. Interestingly, among all the RTAs of India, India's FTAs with ASEAN and SAFTA and PSAs with APTA and MERCOSUR are multilateral negotiations. Presently, RTAs with the Gulf Cooperation Council, Canada, UK, EU and New Zealand are being negotiated. Negotiations with the EU for a Bilateral Trade and Investment Agreement were initiated in 2007 got stalled after 15 rounds of negotiations, the last round being held in 2013. India and the 27-nation bloc resumed negotiations on June 17, 2022 year after a gap of over eight years on the proposed agreements on trade, investments and Geographical Indications (GI). The fourth round of talks for a comprehensive free trade agreement concluded in May, 2023 in Brussels, a move aimed at further strengthening economic ties between the two sides. India and the UK have been negotiating an FTA since January, 2022, with a goal towards a comprehensive pact that is expected to significantly enhance the bilateral trading relationship between India and the UK. India is also negotiating on Comprehensive Economic Cooperation Agreements (CECAs) for deeper integration with the ASEAN, Finland, Japan, Korea and Malaysia.

15.3 INDIA'S MULTILATERAL TRADE AGREEMENTS

As discussed in the last section, India has signed a number of multilateral trade agreements since 1975. In this section, we will describe the evolution of each of these negotiations. In particular, we would discuss the ASEAN-India FTA, SAFTA, APTA, India-Mercosur PSA, and GSTP.

15.3.1 Asia-Pacific Trade Agreement (APTA)

The Asia-Pacific Trade Agreement (APTA) is the oldest RTA joined by India. APTA is the oldest preferential trade agreement between countries in the Asia-Pacific region. It was signed by Bangladesh, India, Cambodia, The Philippines, Republic of Korea, Sri Lanka and Thailand as the Bangkok Agreement (BA) in 1975. However, it was ratified only by Bangladesh, India, Republic of Korea and Sri Lanka. The Bangkok Agreement was renamed as the Asia-Pacific Trade Agreement (APTA) on 2nd November, 2005 at the First Session of the Ministerial Council of the Bangkok Agreement. The present members of APTA are Bangladesh, China, India, Lao PDR, Mongolia, Republic of Korea and Sri Lanka. China was offered accession into the APTA in 2001. Mongolia is the last nation to be acceded into the APTA in 2013.

APTA was formed to hasten economic development in the participating nations through trade and investment liberalization. The Third Round Tariff Concessions under APTA, which entered into force on 1 September 2006, led to tariff

concessions on more than 4,000 items. The Fourth Round of negotiations was launched at the Second session of the Ministerial Council of APTA on 26 October 2007 and was concluded during the 44th Standing Committee meeting held on 24-25 July 2014 in Bangkok, Thailand.

One interesting issue must be mentioned here. India started experiencing huge trade deficits with the APTA since the joining of China in APTA in 2001. India has trade surpluses with Bangladesh, Lao PDR and Sri Lanka and deficits with South Korea and China. In 2014, India's trade deficit with APTA was US\$ 41.82 billion while that with China was US\$ 44.76 billion!

15.3.2 ASEAN-India Free Trade Area

Indonesia, Malaysia, the Philippines, Singapore and Thailand in 1967 formed the Association of South-East Asian Nations (ASEAN). Five more members, Brunei, Cambodia, Laos, Myanmar and Vietnam, joined the ASEAN by 1999. India signed a historic free trade agreement (FTA) with the ASEAN in August 2009 and the India-ASEAN FTA came into force on 1 January 2010. However, India has a PSA with Thailand since 2004 and FTA&EIAs with Singapore and Malaysia since 2005 and 2011 respectively.

Before the free trade area in goods and services with the ASEAN, India's only south-east Asian connection was with Singapore (2005). Along with the FTA with the ASEAN, India has signed FTA&EIAs with Japan (1st August, 2011) and South Korea (on 1 January, 2010), extending its economic cooperation till East Asia.

Since the formation of the India-ASEAN FTA, trade between India and ASEAN countries has increased particularly in thirteen sectors –

- i) mineral fuels, oils, and distillation products
- ii) organic chemicals
- iii) miscellaneous chemical products
- iv) plastics and articles thereof
- v) rubber and articles thereof
- vi) pearls, precious stones, metals, and coins
- vii) iron and steel
- viii) articles of iron and steel
- ix) copper and articles thereof
- x) nuclear reactors, boilers, and machinery
- xi) electrical, electronic equipment
- xii) vehicles other than railway, tramway (transport equipment) and
- xiii) Optical, photo, technical, medical apparatus and the like

15.3.3 South Asian Free Trade Area (SAFTA)

The South Asian Free Trade Area (SAFTA) was formed between the seven SAARC (South Asian Association for Regional Cooperation) countries - Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka on 1 January 2006. It was signed during the 12th SAARC summit in Islamabad, Pakistan. Afghanistan joined the bloc in 2011 becoming the eleventh member of SAFTA. As described in Table 15.1, India has separate bilateral FTAs with Bhutan and Sri Lanka and PSAs with Afghanistan and Nepal. Further, India and Bangladesh are having preferential trade agreement since 1975 through the Bangkok Agreement.

The origin of SAFTA can be traced back to the formation of the SAARC Preferential Trading Arrangement (SAPTA) which was signed on 11 April, 1993 in Dhaka, Bangladesh. SAPTA came into force on 7 December, 1995. Initially the negotiations were based on a product-by-product approach. There were four rounds of negotiations. The first round of negotiations was held in 1995 and only 226 products were covered. This round of negotiations didn't cover non-tariff barriers. The second round followed in 1997 with 1800 items and non-tariff barriers were discussed. The third round of negotiations covered 2700 items and some non-tariff barriers were relaxed. The fourth round was suspended due to heightened tensions between India and Pakistan. Talks resumed in 2003 and SAFTA was created in 2006.

SAFTA was formed to replace SAPTA and enhance economic cooperation within the region with a final aim to form a South Asia Economic Union. Though the initial agreement of SAFTA promised zero customs duty on all traded goods within the members, political conflict between India and Pakistan has remained a hurdle in achieving the economic goals.

The aim of SAFTA was straight forward – reduce tariffs and increase trade within the region. The instruments of economic cooperation among SAFTA members included Trade Liberalisation Programme, Rules of Origin, Institutional Arrangements, Consultations and Dispute Settlement Procedures and Safeguard Measures. SAFTA did not include trade in services. This was later covered by the SAARC Agreement on Trade in Services (SATIS) signed in 2010 at the 16th SAARC Summit in April 2010 in Thimphu, Bhutan. SATIS came into force in 29 November 2012.

Since the inception of SAPTA, India is having a trade surplus with the member nations as a whole. Even with individual member nations, the story remains the same, with very few exceptions. After forming the SAFTA, India's trade surplus has increased significantly. India's trade surplus with SAFTA members stood at US\$ 0.78 billion in 1993 which increased to US\$ 3.93 billion in 2005 and US\$ 17.05 billion in 2014.

15.3.4 India-MERCOSUR PSA

This is a classic example of economic co-operations beyond the geographical neighbourhood. MERCOSUR was formed between Argentina, Brazil, Paraguay and Uruguay in 1994. Venezuela was suspended from the bloc in 2016. India and MERCOSUR signed a Framework Agreement on 17 June 2003 at Asuncion, Paraguay. The aim of this Framework Agreement was to create conditions and mechanisms for negotiations in the first stage followed by reciprocal tariff preferences and in the second stage and finally to negotiate a FTA conforming to the WTO guidelines. Following this Framework Agreement, a Preferential Trade Agreement (PTA) was signed on 25 January, 2004 at New Delhi, India. The major goal of this PTA was to strengthen the economic ties further and increase trade between the member nations through reciprocal tariff reductions. The existing PSA was finally signed on 1 June, 2009.

Under the existing agreement, India has preferential access in the MERCOSUR for organic chemicals, pharmaceuticals, essential oils, plastics & articles, rubber and rubber products, tools and implements, machinery items, electrical machinery and equipment. India has brought down duties in meat products, chemicals, raw hides and skins, leather articles, wool, cotton yarn, glass and glassware, iron and steel, machinery and equipment, optical, photographic and cinematographic apparatus.

Apart from these nations, India has had a PSA with Chile in the Latin American continent since 2007.

India's trade balance with the four MERCOSUR nations (Argentina, Brazil, Paraguay and Uruguay) is determined predominantly by that with Brazil. India registered trade surpluses with Paraguay and Uruguay and deficit with Argentina since 1994. The story with Brazil doesn't exhibit any secular trend. India experienced a booming trade surplus with Brazil during 2005-2008 followed by a sudden and big deficit in 2009 followed by increasing surpluses since 2010.

15.3.5 Global System of Trade Preferences among Developing Countries

The Agreement on the Global System of Trade Preferences among Developing Countries (GSTP) was established on 13 April, 1988 at Belgrade, the present day capital of Serbia and the capital of Socialist Federal Republic of Yugoslavia in 1988. It was negotiated by 48 developing countries that were member of the Group of 77.

GSTP was formed as a preferential trade agreement (PTA) to increase trade between developing countries in the framework of the United Nations Conference on Trade and Development (UNCTAD). Its entry came into force on 19 April 1989 and its notification to the WTO on 25 September 1989.

Bangladesh, Cuba, Ghana, India, Nigeria, Singapore, Sri Lanka, Tanzania, Zimbabwe were the founding members of GSTP, which are still remain as members. GSTP was later expanded with the ratifications by Peru (on 15 April 1989); Mozambique, Myanmar, Nicaragua (on 3 May 1989); Macedonia, Guinea, Guyana (on 4 May, 1989); Mexico (on 13 May 1989); Indonesia, Iran, Iraq, North Korea, South Korea (on 11 June 1989); Pakistan (on 8 July 1989); Morocco (on 13 July 1989); Algeria, Argentina, Benin, Bolivia, Brazil, Cameroon, Chile, Colombia, Ecuador, Egypt (on 16 July 1989); Libya, Malaysia (on 31 August 1989); the Philippines, Sudan, Thailand, Trinidad and Tobago, Tunisia (on 25 August 1989); Venezuela, Vietnam and the trade bloc of MERCOSUR (on 2 November 2006).

The Sao Paulo Round of GSTP, was launched in 2004, with 24 countries participating. At the end of the negotiations, Ministerial Modalities were adopted on 2 December, 2009 wherein it was agreed on a tariff reduction of at least 20% on at least 70% of all dutiable tariff-lines. India unilaterally offered a tariff reduction of 25% on 77% of its tariff lines for Least Developed Countries (LDCs). A Ministerial Meeting of the GSTP Negotiating Committee was held in 2010 in Brazil for signing of the "Final Act Embodying the Results of the Sao Paulo Round" and the "Sao Paulo Round Protocol on the Agreement on GSTP". As of 2014, only 8 countries, including India, signed the protocol.

15.4 INDIA'S OTHER STRATEGIC GROUPS

Along with various multilateral agreements, India is also part of various strategic groups that work towards knowledge sharing, capacity building, strengthening diplomatic engagements among member nations. These groups are of great advantage to India as they help in gathering economic cooperation, gaining a stronger voice in advocating for its interests. Such groups have also helped India in building and strengthening bilateral and multilateral relationships and fostering economic and political ties. By actively participating in these groups, India can advance its economic interests, strengthen its global influence, and contribute to shaping the international economic order. Some of these strategic groups are discussed in this section.

15.4.1 The Group of Twenty (G20)

The Group of Twenty (G20) was founded in 1999 after the Asian financial crisis as a forum for the Finance Ministers and Central Bank Governors to discuss global economic and financial issues. G20 comprises 19 countries (Argentina, Australia, Brazil, Canada, China, France, Germany, India, Indonesia, Italy, Japan, Republic of Korea, Mexico, Russia, Saudi Arabia, South Africa, Turkey, United Kingdom and United States) and the European Union. The G20 members represent around 85% of the global GDP, over 75% of the global trade, and about two-thirds of the world population. In the wake of 2007 financial crisis, G20 was

upgraded to the level of Heads of State/Government and was designated the “premier forum for international economic cooperation”.

The G20 Summit is held annually, under the leadership of a rotating Presidency. The G20 initially focused largely on broad macroeconomic issues, but it has since expanded its agenda to inter-alia include trade, sustainable development, health, agriculture, energy, environment, climate change, and anti-corruption. The G20 Presidency steers the G20 agenda for one year and hosts the Summit. The Group does not have a permanent secretariat. The Presidency is supported by the Troika – previous, current and incoming Presidency. During India’s Presidency, the troika will comprise Indonesia, India and Brazil, respectively.

India holds the Presidency of the G20 from December 1, 2022 to November 30, 2023. The theme of India’s G20 Presidency is “Vasudhaiva Kutumbakam” or “One Earth, One Family, One Future” India’s G20 priorities are:

- Green Development, Climate Finance & LiFE (Lifestyle for Environment)
- Accelerated, Inclusive & Resilient Growth
- Accelerating progress on SDGs
- Technological Transformation & Digital Public Infrastructure
- Multilateral Institutions for the 21st century
- Women-led development

15.4.2 BRICS

The leaders of BRIC (Brazil, Russia, India, and China) countries met for the first time in St. Petersburg, Russia, on the margins of G8 Outreach Summit in July 2006. Shortly afterwards, in September 2006, the group was formalised as BRIC during the 1st BRIC Foreign Ministers’ Meeting, which met on the sidelines of the General Debate of the UN Assembly in New York City. After a series of high level meetings, the 1st BRIC summit was held in Yekaterinburg, Russia on 16 June 2009. BRIC group was renamed as BRICS (Brazil, Russia, India, China, South Africa) after South Africa was accepted as a full member at the BRIC Foreign Ministers’ meeting in New York in September 2010. Over a period of time, BRICS countries have come together to deliberate on important issues under the three pillars of political and security, economic and financial and cultural and people to people exchanges. In 2023, South Africa will host the BRICS summit. India has hosted the BRICS summits three times; first in 2012, then in 2016 and 2021.

15.4.3 The Quadrilateral Security Dialogue (QSD)

The Quadrilateral Security Dialogue (QSD), commonly known as the Quad, is an informal strategic security dialogue between Australia, India, Japan and the United States. Since its establishment in 2007, the representatives for the four-

member nations have met periodically. The motive behind the Quad is to keep the strategic sea routes in the Indo-Pacific free of any military or political influence. The core objective of the Quad is to secure a rules-based global order, freedom of navigation and a liberal trading system.

Quad partners are working together on the Indo-Pacific's most pressing challenges and priorities, including cooperation on climate, critical and emerging technology, cyber security, infrastructure, regional health security, space, maritime security, counterterrorism, humanitarian assistance and disaster relief. The Quad complements other bilateral, regional and multilateral cooperation in the Indo-Pacific, including with ASEAN and Pacific partners.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Enlist the multilateral agreements which India has signed since 1975.

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2) When was SAFTA created and why?

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3) What is GSTP? Highlight the achievements of Sao Paulo round.

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15.5 A BRIEF HISTORY OF EVOLUTION OF REGIONAL TRADING AGREEMENTS

India joined the GATT on 8 July 1948, soon after the GATT was formed on October 30, 1947. As elaborated in Unit 13, the Quad (the United States, the EU, Canada and Japan) dominated the world economy and they bargained over tariff cuts among themselves and allowed the developing-nations to enjoy the benefits of freer trade. Like other under-developed and developing nations, India was not very active. India enjoyed the benefits of tariff liberalization and other special and differential treatment accorded to developing nations and did not engage in the discussions to a large extent. This continued till the Uruguay Round and India joined the WTO from the day of its existence (1 January, 1995).

Two major outcomes of the Uruguay Round, apart from the formation of the WTO on 1 January, 1995, were the establishment of the General Agreement on Trade in Services (GATS) and the Agreement on Trade-Related Intellectual Property Rights (TRIPS). The GATS was introduced for a freer and fairer trade in services among the WTO signatories. The TRIPS Agreement covers copyright and related rights, trademarks including service marks, geographical indications including appellations of origin, industrial designs and patents.

The idea was that the developing nations would gain from tariff reductions and trade facilitations and from reduction of agricultural subsidies by the developed nations. The sources of gains for the developed nations would be through liberalization of trade in services and TRIPS. So, it would be a win-win situation for both the developed and the developing members of the WTO.

With time, the developing countries like Brazil, China and India became important players in the world economy. Exports of goods and services increased from the developing countries. This resulted in a change of balance of decision-making power in the WTO away from the Quad.

The WTO negotiations were based on the requirement of binding tariff cuts and other policy commitments from all but the poorest members. This led the developing member nations to voice their disagreement in unison during the Doha Rounds. They united to object to the provisions that threatened their domestic interests. Thus, the only North-North negotiations under the GATT were replaced by North-South negotiations under the WTO. The underlying interests were vastly different, making the negotiations way more complicated.

During the Ministerial Conference of Geneva in May 1998, the developing countries, led by India, opposed to the idea of a new round of negotiations before a thorough review of the outcome of the Uruguay Round. In particular, the developing countries voiced their concern against the developed countries' reluctance in implementing the Uruguay Round commitments on agricultural subsidies.

Thus, from a mere bystander during the GATT regime, India transformed into a prominent member instrumental in voicing the concerns of the developing economies during the WTO negotiations.

15.6 INDIA'S CONTRIBUTION IN THE WTO

In this section, we will discuss the major issues in which India has played an active role in the WTO negotiations.

15.6.1 Agriculture

Agriculture has been the most debated issue in the WTO negotiations. Substantial reforms in agriculture markets have been one of the most important agenda since the inception of the Doha Round. The major issues of disagreement, including